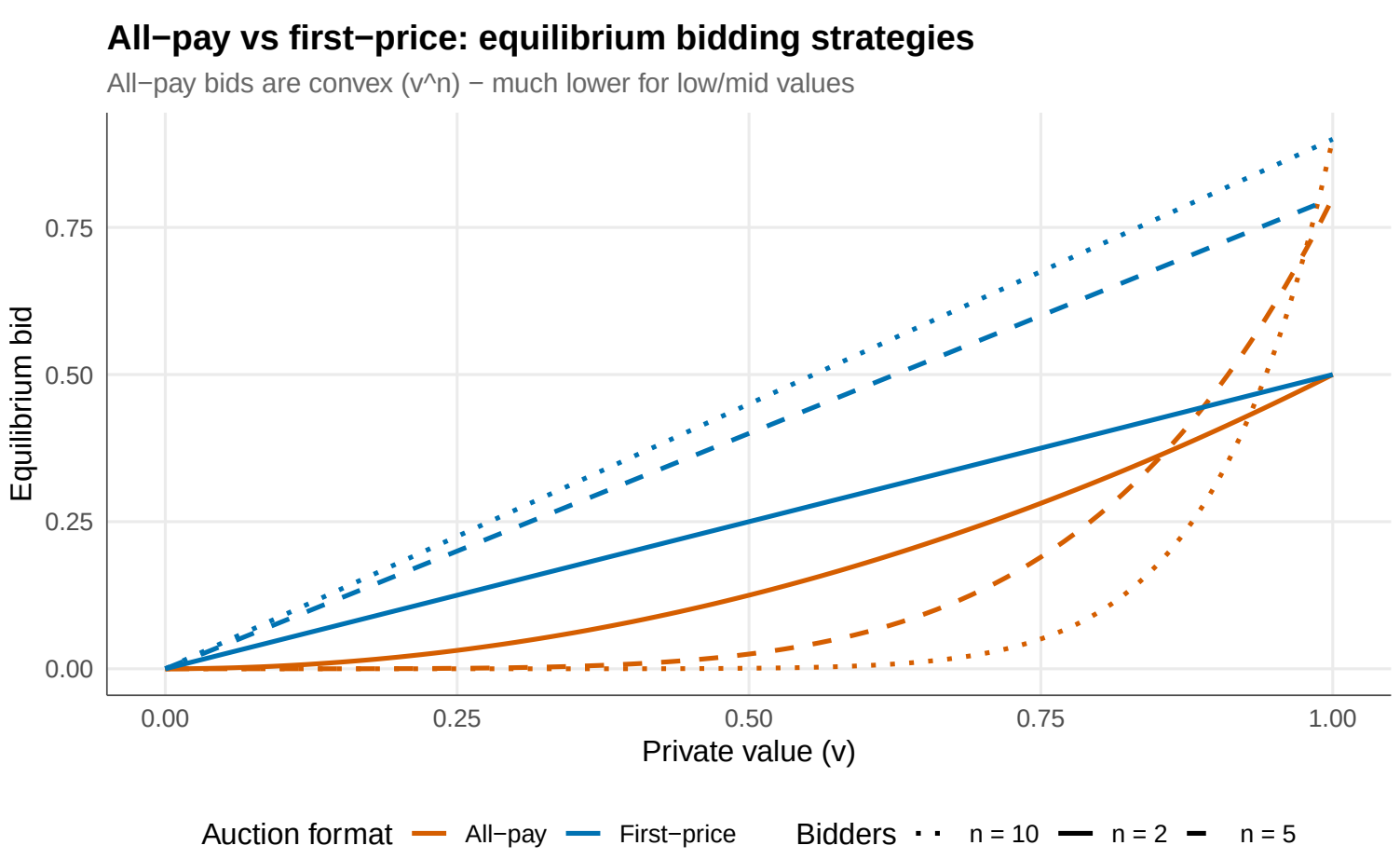
All−pay vs first−price: equilibrium bidding strategies
All−pay bids are convex (v^n) − much lower for low/mid values
Equilibrium bid
0.00
0.25
0.50
0.75
0.00
0.25
0.50
0.75
1.00
Private value (v)
Auction format
All−pay
First−price
Bidders
n = 10
n = 2
n = 5